CHEKIN · APPSELL PLATFORM

INTERNAL · WORKING DRAFT

LOCAL NETWORK — MECHANICS & DYNAMICS

The hosts build the marketplace. *And they keep earning from it.*

A supply-side residual programme: a host introduces a local experience provider, the whole network gains the inventory, and the host earns from every booking it ever generates — anywhere in its coverage area.

Sourcing residual · Three-role contribution split · Quality-scaled rate · Decaying schedule · Delayed exclusivity · Coverage isochrones · Bounty board · Supply book as an asset · Local curators

Document 3 of 3
Local Network — mechanics & dynamics

Audience
Chekin product, engineering, commercial and legal

Companions
Doc 1 — Strategy & Commercial
Doc 2 — Technical Architecture

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Contents

Local Network is not a standalone product. It is the supply-acquisition engine for the AppSell marketplace described in Documents 1 and 2 — it fills the catalogue that the decision engine ranks and the travel plan presents. This document sets out how it works and why it should work.

The idea

PART I

Chekin cannot recruit local supply in four thousand destinations. The hosts already living in those destinations can — and if we pay them properly for it, they will.

1 What we are building

A host introduces a local experience provider to the Chekin marketplace. The provider becomes available to every property in its coverage area, not only the host who introduced it. The introducing host earns a share of every booking that provider ever generates — through anyone's guests.

1 · SOURCE	2 · ACTIVATE	3 · SHARE	4 · EARN
A host names a supplier	**The supplier joins**	**The network gains inventory**	**The sourcing host is paid**
The kayak school, the family winery, the private chef, the fisherman. Someone they already know and trust.	Confirms the relationship, signs Chekin marketplace terms, completes content, pricing and availability.	Every property inside the coverage area can now offer it — subject to their own veto.	A residual on every booking, anywhere in the coverage area, for years — scaled by how good the supplier turns out to be.

THE ONE-SENTENCE VERSION

We are turning fifty thousand property managers into a distributed, unpaid-until-it-works, locally-expert supply acquisition team — and giving each of them a portfolio asset they will not want to walk away from.

What problem this actually solves

The AppSell catalogue has a coverage problem that money alone cannot fix. A two-bedroom apartment in central Barcelona sits inside four hundred bookable experiences. A farmhouse in the Alpujarras sits inside four. Aggregator inventory is dense where tourism is industrialised and absent everywhere else — which is precisely where hosts have the least alternative and the guest experience matters most.

Chekin cannot close that gap with a business development team. Long-tail supply acquisition is a headcount problem with brutal unit economics: a supply manager costs €50–70k fully loaded and can realistically onboard a couple of hundred small local operators a year, each of which may generate a few thousand euros of GMV. To reach a thousand long-tail suppliers you need four or five people for a year — a fixed cost of roughly €250–350k, incurred before a single booking.

The host does it for free, better, and with information we cannot buy: *they already know which local operator is good.*

2 Why hosts will actually do it

Three motivations stack, and the programme should speak to all three because different hosts respond to different ones.

1

Money for work already done

Most hosts already recommend local operators informally, for nothing. Turning an existing recommendation into a residual is close to free money — and it compounds silently.

2

Guest experience they control

Hosts hate recommending through a faceless aggregator. Bringing their own trusted operator into the guest flow is a quality argument before it is a revenue one.

3

An asset, not a payout

A visible, growing supply book with projected annual income changes the psychology entirely. This is what makes independent sales agents in other industries behave like owners.

The uncomfortable question, answered

"WHY WOULD I HAND MY BEST SUPPLIER TO 400 COMPETING APARTMENTS?"

Some hosts will refuse, and pretending otherwise would be a design error. Three answers are built into the mechanics rather than into the marketing. **First**, experiences are almost never the axis on which properties compete — price, location and reviews are. **Second**, the host earns more from network distribution than from private use, because volume through 400 properties dwarfs volume through three. **Third**, and most important, the *delayed exclusivity* mode (§7) lets a host keep a supplier private for 60–90 days and then auto-share at a boosted rate. That converts an uncomfortable philosophical decision into a comfortable timed one, and it is why that mode exists.

3 Market: what exists, and what doesn't

The mechanic is new to accommodation. It is not new to commerce, which is the reassuring part — the failure modes are documented and we can design around them rather than discover them.

MODEL	WHAT IT DOES	RELATIONSHIP TO LOCAL NETWORK
GetYourGuide, Viator, Musement, Klook	Demand aggregators with in-house supply teams. Affiliate programmes pay on bookings *you drive*.	Demand-side affiliate. No overlap — nobody pays you for a supplier you introduced.
Airbnb Experiences	Centrally recruited supply; historically one-off referral bonuses.	Closest in category, furthest in mechanic. No residual.
Merchant-services ISO residuals	An agent signs a merchant and earns on that merchant's card volume indefinitely; the residual book is a saleable asset.	**The true analogue.** This model built card acquiring's entire distribution layer. Decades of evidence that it works.
Insurance brokerage	The broker who writes the account earns renewal commission for the life of the account.	Same residual logic, same retention effect, same regulatory attention (§14).
Lifetime SaaS affiliate programmes	Partners earn ongoing revenue from referred merchants.	Proves the mechanic at software margins; ours is transactional.
Guest-experience apps (Duve, Enso, Operto and similar)	Curated marketplaces assembled centrally.	No host-sourced supply, no residual. This is the competitive gap.

Table 1 — Comparable models. The pattern is proven; the application to accommodation supply is not yet done by anyone we are aware of.

4 Where the moat actually is

It is worth being precise, because the obvious answer is wrong.

THE RESIDUAL MECHANIC IS NOT THE MOAT

GetYourGuide could launch an identical residual programme next quarter. What they cannot replicate is the reason a host would participate: **a host has no incentive to source supply into a marketplace that does not distribute through their own guests.** The residual only makes economic sense to someone who is simultaneously a beneficiary of the network. Chekin owns the property relationship, the guest context and the distribution surface. The moat is the combination — remove any one leg and the programme collapses.

Scope this deliberately: off-aggregator supply

In Barcelona, a host sourcing "another walking tour" adds nothing — the aggregators already cover it, and paying a residual for supply we could have bought anyway is pure margin leakage. The programme's value is concentrated in exactly two places:

Thin destinations

Where aggregator density is low or zero and the catalogue currently renders an empty state. Every supplier added here is genuinely incremental and directly lifts attach rate.

Off-aggregator supply anywhere

The operators with no website, no booking system and no intention of listing on a global platform: the family winery, the private chef, the fisherman, the ceramicist. Highest margin, most differentiating, completely inaccessible to central BD.

This is not a positioning statement — it is a pricing rule. **The sourcing premium is highest where Chekin's coverage is thinnest and where the supplier has no aggregator presence, and can fall to zero for categories already saturated in a dense destination** (§8). The economics steer host effort exactly where it creates value, without anybody having to police intent.

5 Actors and roles

ACTOR	WHAT THEY DO	WHAT THEY GET
Sourcing host	Introduces the supplier, vouches for them, and depending on the roles held, onboards and maintains them.	The sourcing residual, for years, across the whole coverage area.
Serving host	The property whose guest actually buys. May be the same host, usually is not.	Unchanged AppSell economics — their share is never reduced to fund the residual (§8).
Supplier	Contracts with Chekin, fulfils the service, maintains availability and content.	Distribution they could not otherwise obtain, at a commission rate they accept because of it.
Chekin	Contracts, verifies, settles, supports, scores, and takes over supplier management over time.	Catalogue coverage without BD headcount, plus the residual that decays back to us as we take over the work.
Local curator	A high-performing sourcing host who also reviews other hosts' submissions in their destination.	A higher maintenance share and priority on bounties. *Never* earnings from recruiting other hosts (§12).
PMS partner	Distributes AppSell; not directly involved in Local Network at launch.	Unchanged rev-share on all resulting GMV. Host SDK exposure comes later.

Table 2 — Actors. Note that sourcing and serving are roles on a transaction, not types of company: the same host is usually both, on different bookings.

THE CRITICAL LEGAL DISTINCTION

For a supplier to be shareable across the network, **Chekin must be the contracting counterparty.** The supplier signs Chekin's marketplace terms; Chekin settles them, carries the refund path and owns the dispute. The host's role is *introduction and vouching*, not contracting. A supplier the host contracts with directly remains Class B property-partner inventory in AppSell terms and structurally cannot be shared. This distinction determines liability, VAT treatment, DAC7 reporting and the refund flow — it must be settled before any code is written.

The mechanics

PART II

Every number in this part is a starting position, chosen to be internally consistent and defensible. All of them are configuration, not architecture — tune them after the pilot.

6 The claim lifecycle

A **claim** is the object that binds a host to a supplier. It carries the roles held, the sharing mode, the residual schedule and the accrual state. Everything in the programme hangs off it.

STATE	MEANING	EXIT
`draft`	Host is filling in the submission	Submitted, or abandoned after 14 days
`screening`	Automated checks: duplicate detection, exclusion list, KYC pre-check, content completeness	Passes to `pending_supplier`, or rejected with a reason
`pending_supplier`	Supplier invited; must confirm the relationship and accept Chekin terms	**30-day window.** No confirmation → `expired`, supplier returns to the open pool
`onboarding`	Supplier confirmed. Content, pricing, availability, insurance, payout details being completed	**60-day window** to reach `live`
`live`	Bookable. Accrual begins on first confirmed booking	Suspension, dormancy, or termination
`watch`	Supplier score below threshold; accrual reduced or paused; remediation window open	Recovers to `live`, or falls to `suspended`
`suspended`	Supplier removed from the catalogue. Accrual zero	Reinstated, or terminated. Two suspensions in 12 months voids the claim
`dormant`	Sourcing host churned from Chekin. 90-day grace already elapsed	12-month reactivation window, then `released`
`released`	Claim void. Supplier stays in the catalogue; roles become available to another host or to Chekin	Terminal

Table 3 — Claim lifecycle. Note that suspending a claim never suspends the supplier — guests and serving hosts are insulated from disputes between Chekin and a sourcing host.

Claim rules

- **First verified claim wins.** Verification means the supplier confirms the relationship, not that the host asserts it. Two hosts cannot split a sourcing role.

- **No retroactive claims.** Suppliers already in the Chekin marketplace cannot be claimed. Neither can suppliers in an open Chekin BD pipeline — the exclusion list is checked at screening and the host is told immediately, with the reason, so it never feels arbitrary.
- **Claims expire.** Squatting on a supplier who never activates costs you the claim after 30 days. This is the single most important anti-gaming rule.
- **Self-dealing is allowed but disclosed.** A host claiming a supplier they own or control must declare it. Flagged to admin, visible to serving hosts, and ranking is unaffected either way.
- **Roles can be reassigned independently.** If a host stops maintaining a supplier, the *maintained* role can pass to another host or to Chekin without disturbing the *sourced* role.

Approval model

Three-stage, tightening as volume grows: automated screening always; Chekin admin review for the first ~20 suppliers per destination and for every self-dealing or exclusion-list edge case; then local curator peer review with admin spot-checks and a hard admin gate on any category with safety exposure — water, height, vehicles, alcohol, minors.

Minimum bar to go live

Verified legal entity and tax ID · liability insurance where the category requires it · operating licence where required · payout details and bank verification · signed Chekin marketplace terms · complete content: three or more photographs, description, duration, price, cancellation policy, languages, meeting point, accessibility notes, minimum and maximum party size.

7 Coverage and sharing modes

Coverage is per category, not a global radius

A luggage locker serves three streets. A kayak school serves a county. An airport transfer serves a region. A single radius setting would be wrong for almost everything, so the supplier declares a service area within a category cap, expressed as travel time where routing data exists and as radius where it does not.

CATEGORY	DEFAULT CAP	BASIS
Luggage storage, lockers	3 km	Walking
Dining, reservations, private chef	5 km	Walking / short transit
Equipment hire, pet services, wellness	15 km	Drive time 20 min
Experiences, tours, tickets, activities	25 km	Drive time 35 min
Transfers, car and scooter hire	75 km	Drive time 60 min

Table 4 — Coverage caps. A property is in coverage when its geocoded location falls inside the supplier's declared area. Suppliers may declare less than the cap; they may not exceed it without admin approval.

Three sharing modes

`private`

Visible only to the sourcing host's own properties. **No residual** — there is no network to earn from. Convertible to `network` at any time. This is Class B property-partner inventory in AppSell terms.

`network`

Shared across the coverage area from day one. **Full residual.** The default we steer toward, and the one the bounty system rewards.

`delayed`

Exclusive to the sourcing host for 60 or 90 days, then auto-converts to `network`. **Residual boosted ×1.15** for the first 12 network months as compensation for eventually sharing.

WHY `DELAYED` IS THE IMPORTANT ONE

It resolves the competitive objection without an argument. A host who is unsure gets a real exclusivity period, keeps control, and the conversion happens automatically at a date they agreed to in advance rather than in a moment of doubt. We expect this to be the highest-converting mode at launch and to migrate toward `network` as trust builds.

8 The money model

The design constraint is absolute: **the serving host's economics and the PMS partner's economics are never reduced to fund the sourcing residual.** Break that and serving hosts suppress network inventory, and the acquisition side starves the distribution side.

Where the money comes from

The residual is accounted as a carve-out from the platform's own take — never from the property or the partner. It is recovered by a **network-supply premium**: locally-sourced suppliers with no aggregator distribution accept a commission of roughly 25% rather than the ~20% standard for centrally-contracted marketplace supply, because they are receiving a channel they could not otherwise obtain. That five-point premium funds the pool. Chekin's net economics are approximately neutral; the supplier funds their own acquisition, which is the correct incidence.

IF YOU WOULD RATHER NOT CHARGE THE PREMIUM

Then the pool comes straight out of Chekin's ~6% of GMV and every rate below should be roughly halved. The mechanics are identical; only the magnitude changes. This is a single configuration constant, deliberately, so it can be decided commercially rather than architecturally.

Worked example — one €90 booking

A guest staying at Property B books a boat trip from a supplier that Host A sourced, activated and maintains.

LINE	% OF GMV	€	NOTE
Guest pays	**100%**	**90.00**	
Supplier retains	75%	67.50	vs 80% for centrally-sourced supply
Platform commission	**25%**	**22.50**	
— Base Net Revenue Pool	20%	18.00	identical to any AppSell external line
· Serving property (40% of external NRP)	8%	7.20	unchanged
· PMS partner (30% of NRP)	6%	5.40	unchanged
· Chekin	6%	5.40	unchanged
— Sourcing Pool (network premium)	**5%**	**4.50**	**at maximum quality and year 1**
· **Sourced** — introduced, supplier confirmed (30%)	1.50%	1.35	
· **Activated** — onboarded, content, pricing, first booking (45%)	2.25%	2.03	
· **Maintained** — freshness, escalations, stewardship (25%)	1.25%	1.12	

Table 5 — Illustrative. Usually one host holds all three roles and receives the whole pool. Activation is weighted highest deliberately: naming a supplier is cheap, onboarding one properly is the work that determines whether it ever earns.

WHY THE THREE-ROLE SPLIT MATTERS MORE THAN IT LOOKS

A single flat sourcing residual produces a flood of low-effort name-drops that Chekin then has to onboard at its own cost — which reintroduces exactly the BD headcount problem the programme exists to remove. Splitting the reward makes the expensive part the well-paid part, and it lets a role be reassigned when a host goes quiet without voiding their original contribution. It also gives Chekin a clean way to step in: we take the *maintained* role, and the host keeps earning on what they genuinely did.

9 Decay, quality and conditions

The decay schedule

The residual is long-dated but not flat. Over time Chekin progressively takes over the supplier relationship — support, content, contract renewals, quality management — and the economics should follow the work.

PERIOD FROM GO-LIVE	POOL MULTIPLIER	EFFECTIVE % OF GMV	RATIONALE
Months 1–12	100%	5.0%	Host relationship still carries the supplier
Months 13–24	80%	4.0%	Chekin taking over support and content
Months 25–36	60%	3.0%	Supplier now largely Chekin-managed
Month 37 onward	40% (floor)	2.0%	Perpetual while conditions hold

Table 6 — Decay schedule. The decayed remainder reverts to Chekin. The floor never reaches zero — the host who found them should always have something.

The quality multiplier

This is the mechanism that makes the sourcing host police quality on our behalf. The pool is a function of the supplier's live score — confirmation latency, cancellation rate, no-show rate, guest rating, dispute rate — recomputed on a rolling window.

SUPPLIER SCORE	MULTIPLIER	YEAR-1 % OF GMV	ALSO TRIGGERS
≥ 0.90 Excellent	×1.25	5.0%	Eligible for curator status, bounty priority
0.75 – 0.89 Good	×1.00	4.0%	Standard
0.60 – 0.74 At risk	×0.60	2.4%	Claim moves to `watch`; remediation window opens
< 0.60 Failing	×0	0%	Accrual paused; ranking demotion; suspension path

Table 7 — Quality bands. Base pool is 4% of GMV; the multiplier moves it between 0% and the 5% premium ceiling. Chekin retains the difference.

Conditions for continued accrual

The sourcing host is an active Chekin account

This is the retention mechanic, and it is a strong one: churning does not just cost you the software, it stops a growing income stream. On churn, a 90-day grace period, then `dormant`, then a 12-month reactivation window before the claim is released.

The supplier is live and above the quality floor

Score ≥ 0.60, not suspended. Two suspensions inside 12 months voids the claim permanently — the sourcing host vouched for them, and repeated failure is a judgement failure.

What a host actually earns

A well-sourced local supplier generating €30,000 of network GMV a year, at an excellent quality score:

€1,500 Year 1 · 5.0% of GMV	**€1,200** Year 2 · 4.0%	**€900** Year 3 · 3.0%	**€600** Year 4+ · 2.0% floor	**€4,800** Five-year total, one supplier

A host with six such suppliers earns roughly **€9,000 in year one** and continues to earn on all of them indefinitely. That is a number a property manager running 200 units will notice — and it arrives for work they largely did once.

10 Bounties: directed supply acquisition

A passive residual programme gets you the suppliers hosts happen to think of. A bounty board gets you the suppliers you actually need.

Chekin knows precisely where demand exists and supply does not, because the decision engine records every request that returned nothing. That signal — a category requested, eligibility empty, in a specific destination — is the most valuable supply-acquisition input we own, and today it is thrown away.

SIGNAL	BOUNTY	CLAIM	CLOSE
Demand with no supply	**Published to local hosts**	**A local host acts**	**Gap closed, measurably**
340 guests in Cádiz saw a boat-trip slot with zero eligible inventory last month.	"Source a boat operator here. ×1.5 residual for 12 months, plus a €150 activation bonus."	They know the operator. The bounty tells them it is worth the phone call.	Attach rate in that destination and category is tracked before and after. The bounty retires.

Bounty sources: empty eligibility responses by destination and category; destinations below the supply-density floor; seasonal gaps detected ahead of time; categories with high guest search volume and low conversion; and manual bounties set by the supply team. Rates are boosted rather than fixed, so the reward still scales with how good the supplier turns out to be.

11 Curators and the supply book

Local Curators

A host with three or more live suppliers averaging a score of 0.85 or better in one destination becomes a **Local Curator**. They receive a higher share on the *maintained* role, first sight of bounties in their area, and paid participation in the peer review queue for other hosts' submissions in that destination. This creates a semi-professional local supply layer at near-zero fixed cost.

THE LINE WE DO NOT CROSS

Curators are paid for **reviewing and maintaining supply** — a service. They are **never** paid for recruiting other hosts, and no host ever earns from another host's sourcing activity. One level, no exceptions. Two levels is a pyramid structure, which is explicitly prohibited under EU unfair commercial practices rules and would be a brand catastrophe regardless of legality. This constrains the product, the copy and the naming — see §12.

The supply book as an asset

The single most effective psychological device in every comparable model is making the residual *visible as a portfolio*. The host dashboard should show: suppliers sourced, roles held, live GMV through each, current decay step, current quality multiplier, monthly residual, projected annual, and the trend. Not a payout figure — a book of business.

Two consequences follow. First, hosts behave like owners: they chase quality scores and fix content, because they can see the multiplier. Second, **the book should be transferable when a property management company is acquired**, subject to Chekin approval and the acquirer being an active account. Property management roll-ups are constant in this market, and "your supply book comes with you" is a genuine expansion and retention feature rather than a nicety.

Guardrails

PART III

A programme that pays people to introduce supply will attract exactly the behaviour you would expect. These are the rules that keep it a marketplace rather than a scheme.

12 The invariants

1. **Ranking is blind to sourcing**

   Who sourced a supplier has **zero weight** in eligibility, ranking, pricing or slotting. The guest sees what is best for the guest. The moment a residual influences what is shown, the product is corrupt and serving hosts will smell it. This should be asserted by an automated test, not by a policy.

2. **The serving host is never charged for the residual**

   Their share of every line is identical whether the supplier was sourced centrally or by another host. If we ever have to choose between funding acquisition and protecting distribution, distribution wins.

3. **The serving host always has a veto**

   Network supply is on by default, but every serving host can block any supplier or any category, sees a digest of new suppliers entering their coverage before guests do, and can block with one click. No host ever discovers a supplier because a guest complained about it.

4. **One level. Never two.**

   No host earns anything derived from another host's recruitment or sourcing. This constrains the product, the incentive design, the copy and the naming. It is not a preference; it is the boundary between broker economics and a pyramid.

5. **Suspending a claim never suspends a supplier**

   Guests and serving hosts are fully insulated from any dispute between Chekin and a sourcing host. The inventory stays; only the accrual stops.

6. **Every rate is explainable to the host who earned it**

   Decay step, quality multiplier, bounty boost, role share — all shown on the line, in the ledger, at the time. A residual a host cannot audit is a residual they will not trust and will not chase.

13 Fraud, gaming and adverse selection

VECTOR	HOW IT PLAYS OUT	CONTROL
Squatting	Host claims every operator in town to bank options, does nothing, blocks others	Supplier must confirm within 30 days or the claim expires; 60 days to reach live or the activated role is released; no claim earns until the supplier transacts
Free-riding on Chekin's pipeline	Host claims a supplier already in an open Chekin BD conversation	Exclusion list checked at screening, with the reason surfaced to the host immediately so it never feels arbitrary
Retroactive claiming	Host claims existing marketplace suppliers for free residual	Prohibited outright. Existing suppliers are not claimable, full stop
Self-dealing	Host creates or controls the supplier entity and buys from themselves	Permitted but must be declared; flagged in admin and to serving hosts; KYC on the supplier entity; ranking unaffected; anomalous self-purchase patterns monitored
Volume-over-quality flooding	Host name-drops fifty operators to maximise claim count	Three-role split makes naming the cheapest role; quality multiplier means bad supply earns nothing; screening throttles per-host submission rate
Collusive pricing	Host and supplier inflate retail to grow the residual base	Price benchmarking against category and destination medians; outliers flagged; guests see market comparison where available
Adverse selection	The operators most willing to join are the ones nobody else wants	Minimum bar to go live, quality multiplier, watch state, two-strike suspension rule, and curator review in the destination
Claim racing	Hosts race to submit the same obvious operator	First *verified* claim wins — the supplier decides, not the submission timestamp. Losing hosts are offered the maintained role if it later frees up

Table 8 — Anti-gaming controls. Each maps to a specific state or field in the claim model.

14 Legal and regulatory posture

AREA	EXPOSURE	POSTURE
Pyramid / MLM rules	EU unfair commercial practices rules prohibit compensation derived principally from recruiting others	Strictly one level; all compensation tied to actual transactions by an actual supplier; no recruitment earnings of any kind; copy and naming reviewed against this
Commercial agency	Ongoing commission for introducing commercial relationships can, in some EU jurisdictions, create agency status with termination indemnity rights	Terms drafted to characterise the host as a non-exclusive introducer without authority to negotiate or bind; legal review *before* terms are published, not after
Marketplace liability	Chekin as contracting counterparty carries consumer-law duties, refunds and disputes for network supply	Accepted deliberately — it is what makes sharing possible. Mitigated by the minimum bar, insurance requirements and supplier scoring
DAC7 / platform reporting	Facilitating payouts to suppliers *and* to hosts creates reporting obligations	Chekin operates as the reporting platform for both flows; host residuals are reportable income and hosts are told so at enrolment
VAT on residuals	The residual is consideration for a service the host provides to Chekin	Self-billing where the host is VAT-registered; gross-up handling where not; per-country treatment resolved at payout
Category licensing	Water, height, vehicles, alcohol, food and activities involving minors carry licence and insurance requirements	Hard admin gate on these categories regardless of curator status; evidence of licence and insurance required before live
Competition	Exclusivity windows and coverage areas touch on territorial restrictions	Exclusivity is short, host-elected and self-terminating; no supplier is prevented from selling elsewhere; no price parity requirement imposed on suppliers

Table 9 — Regulatory posture. The first two rows should be reviewed by counsel before the pilot, not before launch.

15 Risk register

RISK	SEVERITY	MITIGATION
Hosts won't share their best suppliers	HIGH	`delayed` exclusivity mode; residual economics favour network over private; pilot explicitly measures mode selection
Quality externality damages serving hosts	HIGH	Quality multiplier, watch state, two-strike rule, serving-host veto, minimum bar, insurance requirements
Programme pays for supply we'd have got anyway	HIGH	Exclusion list, no retroactive claims, premium scaled down in saturated category/destination pairs, bounties directing effort to real gaps
Perceived as an MLM scheme	Medium	One level enforced in product; naming and copy discipline; framing as a curator programme, never as a downline
Serving hosts resent paying "another PM"	Medium	Their share is provably unchanged; the ledger shows it; messaging leads with the coverage benefit, not the residual
Low participation — nobody submits anything	Medium	Chekin seeds the first suppliers per destination; bounties with activation bonuses; supply book made visible early; density bonus in thin destinations
Perpetual liability grows unmanageably	Medium	Decay schedule with a 40% floor; active-account condition; premium-funded so it is self-financing
Admin review becomes the bottleneck	Medium	Automated screening first; curator peer review at volume; admin gate reserved for safety categories and edge cases
Supplier churns off the platform once established	Low–Med	Chekin holds the booking relationship and the guest demand; no exclusivity demanded, so no incentive to leave; content and reviews accrue on our side
Cross-border coverage disputes	Low	Coverage caps per category; admin approval to exceed; disputes resolved by supplier's declared area, not by host claim

Table 10 — Risk register.

Fit with AppSell

PART IV

Local Network is not a separate product. It is the supply-acquisition engine for the marketplace that AppSell already distributes, ranks and settles.

16 How the two connect

APPSELL LAYER (DOC 1 §6)	WHAT LOCAL NETWORK CHANGES
L1 · Guest Context Graph	Nothing. Context is unaffected by who sourced a supplier — and must remain so.
L2 · Supply	**This is the integration point.** Network-sourced suppliers are Class C marketplace inventory with a new `origin: network` attribute and a claim attached. `private`-mode suppliers are Class B property-partner inventory.
L3 · Decision engine	Nothing visible. Coverage is an eligibility input like any other geographic constraint. Sourcing has no ranking weight — invariant #1.
L4 · Automation	New triggers: `network.supplier_live_in_coverage`, `network.bounty_published`, `network.claim_state_changed`.
L5 · Guest CRM	Unaffected at launch.
L6 · Surfaces	Network supply appears in the travel plan, check-in flow and guidebook exactly like any other inventory. Optional provenance line — "recommended by a local host" — to be tested, not assumed.
L7 · Transaction	**The second integration point.** The split engine gains a sourcing pool with role shares, decay step, quality multiplier and bounty boost. The attribution ledger gains sourcing fields. Payouts gain a new counterparty type: the sourcing host.
L8 · Agent layer	New tools: `find_supply_gaps`, `propose_supplier_claim`, `explain_residual`, `get_supply_book`. Natural-language configuration applies here identically.

Table 11 — Local Network touches exactly two AppSell layers materially: supply and settlement. Everything else is additive.

17 Data model additions

```
// New objects
Claim           clm_   host ↔ supplier binding: roles, sharing mode, schedule, state
ClaimRole       —      sourced | activated | maintained · holder · share · since
Coverage        cov_   supplier service area: category, geometry, cap, basis
Bounty          bty_   destination + category gap, boost, bonus, expiry, status
SupplierScore   —      rolling quality metrics feeding the multiplier
ResidualAccrual acr_   per-order-line accrual: pool, role shares, decay step, multiplier
SupplyBook      —      derived view: a host's claims, accruals and projections

// Extended objects
CatalogItem     + origin: central | network | property_partner
                + claim_id
Supplier        + sourced_by_claim_id, coverage[], score, exclusion_flags
OrderLine       + sourcing_pool { amount, roles[], decay_step, quality_multiplier, bounty_boost }
Settlement      + counterparty type: sourcing_host
```

18 Metrics

NORTH STAR

Incremental attach from network supply — the lift in attach rate in destination × category pairs after network supply goes live, versus a matched control. Not "suppliers onboarded". A thousand suppliers that nobody books is a failed programme with an impressive dashboard.

Supply funnel

Submissions · screening pass rate · supplier confirmation rate · time to live · activation completion · live suppliers per destination

Coverage

% of active properties with ≥5 bookable items within 15 minutes · destinations above the density floor · bounties published vs closed · median time to close a bounty

Quality

Mean supplier score by origin (network vs central) · watch and suspension rate · dispute rate · serving-host block rate — **the single best early warning signal**

Host economics

Hosts with ≥1 live claim · median supply book size · median annual residual · % of hosts earning above a meaningful threshold

Programme economics

Residual paid ÷ network GMV · effective supply CAC vs BD-equivalent cost · premium capture rate · Chekin net margin on network vs central lines

Retention

Churn of hosts with a supply book vs matched hosts without — this is where much of the programme's real value will show up

19 Rollout and what is still open

PHASE 0	PHASE 1	PHASE 2	PHASE 3
Prototype & validate	**Two-destination pilot**	**Bounties & curators**	**Open & automate**
Build the dashboard module (see the companion build brief). Put it in front of 10–15 real property managers. The question to answer is one: *would you actually submit a supplier, and in which sharing mode?*	One thin destination and one dense, for contrast. Chekin seeds the first suppliers. Manual admin review throughout. Measure incremental attach, not supplier count.	Turn on directed acquisition and peer review once there is enough volume for the review queue to matter.	Self-serve submission, automated screening at scale, supply book transfers, and exposure through the host SDK for PMS partners.

Open questions the team should close

- **Does the premium hold?** Will local, off-aggregator suppliers accept ~25% for distribution they cannot otherwise get? If not, the pool halves and comes out of Chekin's share. Test this with ten real conversations before building the settlement logic.
- **Has any host asked for this?** Currently a hypothesis. Ten interviews would de-risk the entire programme more cheaply than any amount of design.
- **Which two destinations?** Recommendation: one Spanish secondary market with thin aggregator coverage, and Barcelona as a saturated control.
- **Legal sign-off on agency characterisation and one-level compensation** — before terms are drafted.
- **Naming.** Working title *Chekin Local Network*. The host-facing terms that matter are "Supply Book", "Sourcing Residual" and "Local Curator". Whatever we choose must not read as a downline.

Appendices

REFERENCE

A Decisions register

Every open question was resolved to keep the design moving. Each is a starting position, not a conviction — challenge any of them.

QUESTION	DECISION	WHY
Where does the residual come from?	Platform take, recovered by a network-supply premium	Serving host and PMS partner must never be reduced; the supplier funds their own acquisition
Magnitude	Pool = 4% of GMV × quality multiplier, ceiling 5%	Produces ~€1,500/supplier/year at €30k GMV — motivating without being reckless
Duration	100 / 80 / 60 / 40% over four years, then perpetual floor	Follows the work as Chekin takes over the relationship
Serving host's take	Unchanged	Non-negotiable invariant
Contribution model	Sourced 30 / Activated 45 / Maintained 25	Onboarding is the expensive part and should be the well-paid part
Operational area	Per-category caps, isochrone where available	A locker and a transfer have nothing in common geographically
Sharing modes	private / network / delayed (60 or 90 days, ×1.15)	Converts competitive reluctance into a timed decision
Premium in saturated markets	Scaled down, potentially to zero	Do not pay for supply we already have
Two hosts, same supplier	First *verified* claim wins; no splitting of a role	The supplier decides, not a timestamp
Host churns	90-day grace → dormant → 12-month reactivation → released	Retention lever with a fair off-ramp
Transfer on acquisition	Yes, with Chekin approval and an active acquirer account	PM roll-ups are constant; the book travelling with the business is an expansion feature
Approval model	Automated screening → admin review → curator peer review, with a permanent admin gate on safety categories	Tightens as volume grows without becoming a bottleneck
Serving host opt-in or opt-out?	Auto-on, with per-supplier and per-category block and an advance digest	Density matters, but never at the cost of the host's control
Categories in scope	All, but premium concentrated where coverage is thin and the supplier is off-aggregator	Targets the money at the actual gap
Retroactive claims on existing suppliers	No	Would be pure margin leakage for zero incremental supply
Pilot destinations	One thin, one dense, run side by side	The contrast is the experiment
Name	Chekin Local Network · module slug `local-network`	Descriptive, non-schemey, sits naturally beside AppSell

B Glossary

Claim	The binding between a host and a supplier: roles held, sharing mode, residual schedule, accrual state.
Sourcing residual	The ongoing share paid to the host who introduced (and possibly onboarded and maintains) a supplier.
Sourcing pool	The portion of a transaction allocated to the sourcing roles, before it is split three ways.
Roles	*Sourced* (introduced, supplier confirmed) · *Activated* (onboarded to live) · *Maintained* (ongoing stewardship). Independently assignable.
Serving host	The property whose guest actually buys. Economics unchanged by Local Network.
Coverage	The geographic area in which a supplier is offerable, capped by category.
Sharing mode	`private` · `network` · `delayed`. Chosen by the sourcing host.
Quality multiplier	The factor, derived from the supplier's live score, that scales the sourcing pool between zero and the ceiling.
Decay step	The time-based multiplier reducing the pool as Chekin assumes supplier management.
Bounty	A published demand gap — destination plus category — carrying a boosted residual and an activation bonus.
Local Curator	A high-performing sourcing host who also reviews submissions in their destination. Paid for review work, never for recruitment.
Supply book	A host's portfolio of claims and the income they generate, presented as an asset.
Network premium	The incremental commission points accepted by network-sourced suppliers, which fund the pool.

About this document. Internal working draft, Chekin, July 2026. All rates, splits, thresholds and schedules are illustrative starting positions chosen for internal consistency; none is a commitment, and all are configuration rather than architecture. Comparisons to other companies' programmes are based on publicly described models and are used for structural analogy only. Regulatory descriptions are provided for design context and are not legal advice — the agency-characterisation and one-level compensation questions in §14 require counsel before terms are drafted. Read alongside Document 1 (Strategy & Commercial Framework) and Document 2 (Technical Architecture & Integration Guide).